Figure 21.4 Shown is a 5% failure of a cup-with-handle pattern. Although price breaks out upward, it moves less than 5% above the cup rim before plunging downward.

Why do cups fail? Remember than the failure rate for cups is low, just 5%, ranking second out of 39 patterns, where one is best (fewest failures). That's a low failure rate (or the other patterns have atrocious failure rates, depending on whether you're a half-glass-full/-empty person).

The answer to the question is manifold. Overhead resistance can stop price from rising. Because cups tend to be long patterns, fundamentals may change, which sends the stock crashing. The industry might develop supply problems for a main ingredient to a product the company makes (more common is price rises for the feedstock). The general market may turn down or become a bear market. Anything can happen. Often it's as simple as the company failing to beat earnings estimates.

Later in the chapter, we'll see failure rates and discuss them. Let's talk numbers.

Statistics

Table 21.2 shows general statistics for cup-with-handle patterns. As I mentioned earlier, I removed bear markets statistics because I didn't find enough examples to be comfortable commenting on them. They might be offended.

Table 21.2 General Statistics

Description	Bull Market
Number found	913
Reversal (R), continuation (C) occurrence	100% C
Average rise	54%
Standard & Poor's 500 change	14%
Days to ultimate high	303
How many change trend?	69%